

Section A

DOW THEORY & SUPPORT RESISTANCE

Q1) On which timeframe we could study DOW THEORY and mark support/ resistance?

Ans: DOW THEORY and support/ resistance could be found on any time frames, but during early stage of learning its advisable to find on higher timeframes like monthly, weekly, daily.

Q2) How to identify a higher high and higher low point in a Uptrend?

Ans: when the price makes a new high compared to previous high level, it's called higher high.

when the price makes a low which is above the previous low level, it's called higher low.

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Q3) How to identify a lower high and lower low point in a Downtrend?

Ans: when the price makes a lower high compared to previous high level, it's called lower high.

when the price makes a low which is below the previous low level, it's called lower low.

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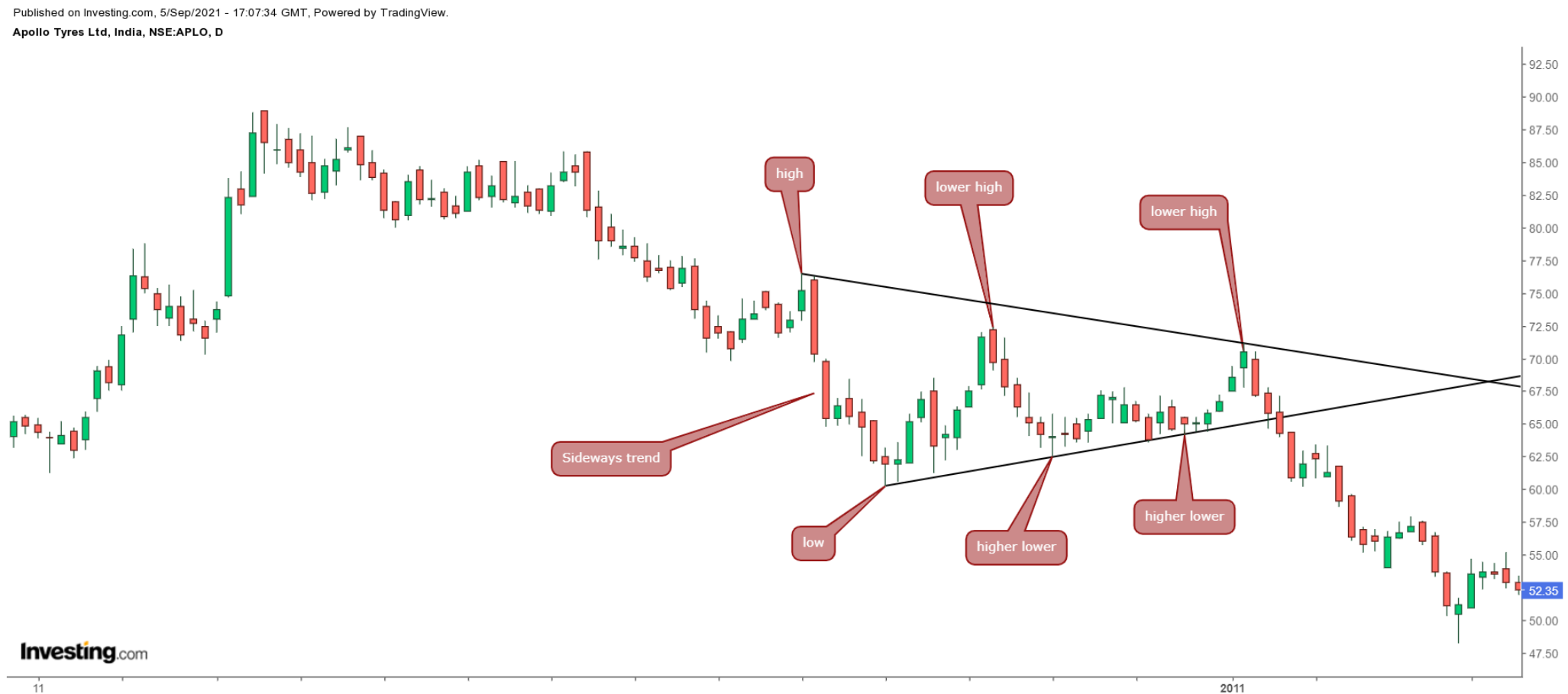
Q4) Should we consider wicks of candle or close point of candle as high and low points while marking DOW theory?

Ans: we can consider wicks of candles for marking DOW theory, as price has reached that point.



Q5) How can sideways trend be identified using DOW theory?

Ans: we have to identify the high and low points in the trend and join them using trendlines.



Q6) what is resistance point, how many types are resistance trendlines?

Ans: Resistance points are the points from where the price has fallen down. They're also the HIGHS of a trend.

Resistance trendline is joined using these high points.

There are two types of Resistance:

1. Horizontal Resistance Trendline
2. Angular/ Slanting Resistance Trendline

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Q7) what is support point, how many types are support trendlines?

Ans: Support points are the points from where the price has moved up. They're also the LOWs of a trend.

support trendline is joined using these low points.

There are two types of support Trendlines:

1. Horizontal Support Trendline
2. Angular/ Slanting support Trendline

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Q8) How many minimum resistance points should be considered for marking a resistance trendline?

Ans: we require minimum 2 points for marking resistance trendline.



Q9) How many minimum resistance points should be considered for marking a horizontal resistance trendline?

Ans: we require minimum 1 point for marking horizontal resistance trendline.



Q10) How many minimum support points should be considered for marking a horizontal support trendline?

Ans: we require minimum 1 point for marking horizontal support trendline.



Q11) How many minimum support points should be considered for marking a support trendline?

Ans: we require minimum 2 points for marking support trendline.



Q12) which candle to consider for a breakout of resistance trendline?

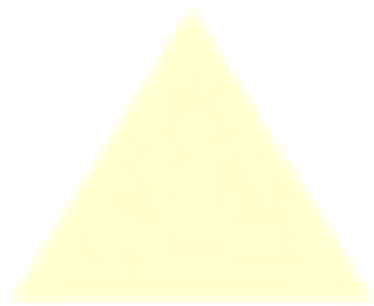
Ans: The candle which has broken the resistance level and closed above resistance line is the breakout candle.



Q13) which candle to consider for a breakdown of resistance trendline?

Ans: The candle which has broken the support level and closed below support line is the breakdown candle.





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